7. INCOME TAXES

On December 22, 2017, the Tax Act was signed into law. Among other things, beginning with the 2018 tax year, the Tax Act reduced the Company's corporate federal tax rate from a marginal rate of 35% to a flat 21%, eliminated the corporate Alternative Minimum Tax ("AMT"), changed reserving and other aspects of the computation of taxable income for insurance companies, and modified the net operating loss carryback and carryforward provisions for all entities in the group except for those subject to tax as property and casualty companies. The modified net operating loss provisions no longer allow a carryback to prior years to recover past taxes, but now allow an indefinite carryforward period subject to a yearly utilization limit. As discussed above, any net operating losses with respect to the insurance entities taxed as property and casualty companies retain the current net operating loss carryback and carryover provisions, which are two years carryback and 20 years carryforward. As of December 31, 2016, the Company measured its deferred tax items at the enacted rate in effect of 35%. Due to the Tax Act's enactment, the Company's deferred tax assets and liabilities as of December 31, 2017 have been re-measured at the new enacted tax rate of 21%. For the year ended December 31, 2017, the Company recognized income tax expense of $10.5 million related to reduction in the net deferred tax asset a result of this re-measurement.

Atlas' effective tax rate was 12.1%, (416.8)%, and 34.5% for the years ended December 31, 2017, 2016, and 2015, respectively. The table below reconciles the U.S. statutory marginal income tax rate to the effective tax rate ($ in '000s):

Year Ended December 31,	2017		2016		2015	
	Amount	%	Amount	%	Amount	%
Provision for taxes at U.S. statutory marginal income tax rate	$ (15,453)	35.0 %	$ 179	35.0 %	$ 7,716	35.0 %
Nondeductible expenses	51	(0.1)%	24	4.7 %	124	0.6 %
Tax-exempt income	(23)	0.1 %	(39)	(7.6)%	(89)	(0.4)%
State tax (net of federal benefit)	(2)	— %	28	5.5 %	118	0.5 %
Stock compensation	(445)	1.0 %	—	— %	—	— %
Nondeductible acquisition accounting adjustment	—	— %	(2,204)	(430.5)%	329	1.5 %
Change in statutory tax rate	10,542	(23.9)%	—	— %	(471)	(2.1)%
Other	(13)	— %	(122)	(23.9)%	(111)	(0.6)%
Provision for income taxes for continuing operations	$ (5,343)	12.1 %	$ (2,134)	(416.8)%	$ 7,616	34.5 %

Income tax (benefit) expense consists of the following for the years ended December 31, 2017, 2016, and 2015 ($ in '000s):

Year Ended December 31,	2017	2016	2015
Current tax (benefit) expense	$ (6,719)	$ (2,586)	$ 7,790
Deferred tax expense (benefit)	1,376	452	(174)
Total	$ (5,343)	$ (2,134)	$ 7,616

Upon the transaction forming Atlas on December 31, 2010, a yearly limitation as required by U.S. Internal Revenue Code of 1986 (as amended, "IRC") Section 382 that applies to changes in ownership on the future utilization of Atlas' net operating loss carryforwards was calculated. The Insurance Subsidiaries' prior parent retained those tax assets previously attributed to the Insurance Subsidiaries, which could not be utilized by Atlas as a result of this limitation. As a result, Atlas' ability to recognize future tax benefits associated with a portion of its deferred tax assets generated during prior years has been permanently limited to the amount determined under IRC Section 382. The result is a maximum expected net deferred tax asset that Atlas has available after the merger, which is believed more-likely-than-not to be utilized in the future, after consideration of valuation allowance.

On July 22, 2013, due to shareholder activity, a “triggering event” as determined under IRC Section 382 occurred. As a result, under IRC Section 382, the use of the Company’s net operating loss and other carryforwards generated prior to the “triggering event” will be limited as a result of this “ownership change” for tax purposes, which is defined as a cumulative change of more than 50% during any three-year period by shareholders owning 5% or greater portions of the Company’s shares. Due to this triggering event, the Company estimates that it will retain total tax effected federal net operating loss carryforwards of approximately $13.3 million as of December 31, 2017.

The components of net deferred income tax assets and liabilities as of December 31, 2017 and December 31, 2016 are as follows ($ in ‘000s):

	December 31, 2017	December 31, 2016
Gross deferred tax assets:		
Losses carried forward	$ 13,313	$ 14,535
Claims liabilities and unearned premium reserves	6,171	8,546
Tax credits	1,172	662
Commissions	623	1,269
Stock compensation	602	1,157
Other	1,094	1,027
Total gross deferred tax assets	22,975	27,196
Gross deferred tax liabilities:		
Deferred policy acquisition costs	3,107	4,628
Investments	213	475
Fixed assets	847	559
Intangible assets	715	1,328
Other	1,108	1,708
Total gross deferred tax liabilities	5,990	8,698
Net deferred tax assets	$ 16,985	$ 18,498

Amounts and expiration dates of the operating loss carryforwards as of December 31, 2017 are as follows ($ in ‘000s):

Year of Occurrence	Year of Expiration	Amount
2001	2021	$ 5,007
2002	2022	4,317
2006	2026	7,825
2007	2027	5,131
2008	2028	1,949
2009	2029	1,949
2010	2030	1,949
2011	2031	4,166
2012	2032	9,236
2015	2035	1
2017	2037	21,864
Total		$ 63,394

NOLs and other carryforwards generated in 2015 and 2017 are not limited by IRC Section 382.

Atlas has not established a valuation allowance for its gross future deferred tax assets as of December 31, 2017 or as of December 31, 2016. Based on Atlas' expectations of future taxable income, its ability to change its investment strategy, as well as reversing gross future tax liabilities, management believes it is more likely than not that Atlas will fully realize the net future tax assets. However, there can be no guarantee that a valuation allowance will not be required in the future.

Atlas accounts for uncertain tax positions in accordance with the income taxes accounting guidance. Atlas has analyzed filing positions in the federal and state jurisdictions where it is required to file tax returns, as well as the open tax years in these jurisdictions. Atlas believes that its federal and state income tax filing positions and deductions will be sustained on audit and does not anticipate any adjustments that will result in a material change to its financial position. Therefore, no reserves for uncertain federal and state income tax positions have been recorded. Atlas would recognize interest and penalties related to unrecognized tax benefits as a component of the provision for federal income taxes. Atlas did not incur any federal income tax related interest income, interest expense or penalties for the years ended December 31, 2017, 2016, and 2015. The Internal Revenue Service ("IRS") completed its audit of tax year 2012 during the three month period ended March 31, 2016. No changes to tax year 2012 were made to our reported tax. Tax years 2014 and years thereafter are subject to examination by the IRS.